- greater worry and stress about short-term market volatility, and
- greater worry and stress about outliving your retirement assets.

Meanwhile, a more aggressive retiree will tend to fall in the opposite direction on these matters, highlighting the highly personal and complex nature of determining asset allocation for retirement. I will discuss the matter in more detail in chapter 8.

For now, with decisions made about these issues, retirees can decide on an appropriate PAY Rule and then compare the distributions of spending and wealth created by variable spending rules. I now aim to provide guidance about determining the implications of being conservative, moderate, or aggressive with regard to retirement income decisions. Exhibit 6.22 outlines three different stylized PAY Rules to represent these different retirement preferences. A conservative retiree uses a more conservative asset allocation (such as 25 percent stocks) and seeks greater safety within his or her choices for PAY: there is a smaller chance that wealth falls to low levels by late in retirement (5 percent chance that real wealth falls below $20 from an initial $100 by year 30). A moderate retiree reflects our earlier baseline by being comfortable with 50 percent stocks and accepting a 10 percent change that real wealth falls below $15 by year 30. Finally, an example for a more aggressive retiree is using a 75 percent stock allocation and accepting a 20 percent change that real wealth falls below $10 by year 30.

Exhibit 6.22

Three PAY Rules for Retirees

Based on Initial Retirement Assets of $100

Retiree Type	**PAY Rule**	**Asset Allocation (Stocks/Bonds)**
Conservative	Accepts a 5% chance that real wealth falls below $20 by year 30	25/75
Moderate	Accepts a 10% chance that real wealth falls below $15 by year 30	50/50
Aggressive	Accepts a 20% chance that real wealth falls below $10 by year 30	75/25

The moderate case was provided earlier in Exhibit 6.21. In the baseline constant inflation-adjusted spending case, the sustainable spending rate was